

What is Groupage Cargo?

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Cargo consolidation, also known as cargo groupage, refers to the process of combining and bundling multiple small (cargo) shipments from different shippers, consignees, or traders from the same country of export and purchase into a single larger shipment or container heading to the same destination, country, or point of final customs clearance.

Each of the individual shipments or cargo bundles is entitled to a House Bill of Lading indicating the true actual owner, cargo description, quantity, and weight of the cargo bundle or shipment. This individual House Bill of Lading is the title of ownership that a formal consolidator awards each individual shipment cargo bundle to prove a shipper, trader, and customer's ownership of that specific cargo. It is also the first document that enables the shipper, trader, or consignee to process their final tax clearances under the acceptable customs clearance procedure and take possession of their cargo.

Cargo consolidation is mainly done to optimize transportation efficiency and reduce shipping costs by sharing space and freight forwarding resources, resulting in economies of scale.

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Is cargo consolidation the same as cargo groupage?

Yes, consolidation is the same as groupage cargo.

Who is a cargo consolidator?

Cargo consolidators are freight forwarding operators (companies) who use the carrier/vessel to bundle or group Less than Container Load (LCL) cargo of Ugandan small and medium-sized importers who cannot fill the minimum order quantity of

shipping lines, i.e., filling a Full Container Load (FCL), and therefore they group or bundle the goods and consolidate them into one consignment to the same common country of destination. This is commonly known as groupage cargo or consolidated cargo here in Uganda.

What is expected of a cargo consolidator?

- Must have fully established and registered operational offices both in the country of export and import, with fully trained personnel to handle groupage cargo.
- Must have registered warehousing and storage facilities set up where the consolidation process takes place, e.g., in China, Dubai, and Turkey.
- Cargo consolidators must be registered and authorized by URSB, URA, UCCA, and the Ministry of Works and Transport to carry out these operations.
- Cargo consolidators must comply with accepted processes, procedures, and policies to facilitate trade and business development.
- Cargo consolidators must be system-oriented with the automated consolidation system for uniformity, transparency, and effectiveness.
- A consolidator must be able to sensitize and provide relevant information to his or her shippers, traders, and consignees to empower and enable them to carry out proper trade and logistics activities.
- Integrity, credibility, and transparency for all stakeholders and relevant parties in their businesses and operations

Are there requirements for becoming a cargo consolidator?

Firms providing consolidation services must be:

- Registered freight forwarding company compliant with international ISO standards
- Fully licensed and registered with relevant authorities in both the consolidating and de-consolidating countries, e.g., URSB, UCCA, URA, and Port Authorities
- Must have warehousing and storage facilities set up where the consolidation process takes place.

- They are NVOCC but often act as carriers, providing their own House BLs that are supported by a Master BL issued by the shipping line for the entire consolidated shipment. – The Master BL clearer highlights the actual owners and consignees of the various cargos that are consolidated, the number of cartons, the measure of the cargo usually indicated in cubic meters (CBM), the HBL number, and any other detail deemed important, to facilitate the final clearance process.
- Must be enrolled in the automated consolidator systems for uniformity, transparency, and effectiveness.

Is there an association that brings together cargo consolidators in Uganda?

Yes, the Uganda Cargo Consolidators Association (UCCA)